

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

**BAKERLY, LLC
COMPLAINANT,
v.
SEAFRIGO USA INC.
RESPONDENT.**

REPLY BRIEF OF BAKERLY LLC

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I. SUMMARY OF ARGUMENT

As Bakerly will show, Seafrigo violated the Shipping Act by failing to comply with its Rules Tariff and bill of lading terms; practicing unreasonable billing policies and procedures regarding demurrage and detention through a duplicative invoicing practice; and lacking due diligence in billing during the snowstorm period.

Seafrigo failed to operate in accordance with its Rules Tariff and bill of lading terms which exempt Bakerly from demurrage fees on door delivery moves which Bakerly itself did not cause.

The record also reflects Seafrigo's erroneous practice of issuing duplicative invoices to the detriment of Bakerly, who made countless attempts to obtain information missing from the invoices. Seafrigo, for example, invoiced partial amounts for demurrage without substantiation despite the containers remaining at the terminal in violation of 46 C.F.R. § 532.5(d)(2)(iv).

Finally, Seafrigo unlawfully charged Bakerly demurrage fees when the ports were closed due to weather thus violating the Shipping Act and Interpretive Rule. Seafrigo's lack of diligence in seeking remedy for the charges pursuant to the standards of the Federal Maritime Commission's Interpretive Rule on Demurrage and Detention and its act of passing through unsubstantiated charges ultimately caused the charges in dispute.¹

¹ At the outset, Bakerly notes the following procedural issues with Seafrigo filing: Seafrigo violated the Scheduling Order by failing to provide its Responses to Bakerly's PFF in "word-processing format" by the deadline. And Seafrigo failed to comply with the requirements for its Appendix when it lacked cover pages, page numbers that are "numbered sequentially, for example CX 1, CX 2 or RX 1, RX 2, etc." and a table of contents. Seafrigo also failed to cite to emails provided in Bakerly's Appendix and re-produced many emails as outlined in the Bakerly Response to Seafrigo SPFF.

II. REPLIES TO FACTUAL DISPUTES

A. Discovery was not in Individually Labeled Folders

Seafrigo did not provide labeled folders that were titled with the Seafrigo Invoice number and included the supporting documents related to each Seafrigo invoice. Seafrigo re-produced the same folder structure in its filing on May 30, 2023 that it provided to Bakerly during discovery.

Seafrigo claims that it “provided folders reflecting the shipping documents and communications related to specific invoices.” Seafrigo Resp. Br. at 41, n.38. Again, Seafrigo claims, “Seafrigo provided labeled folders referring to the Seafrigo Invoice number so as to permit Bakerly to identify which supporting documents related to which Seafrigo invoice.” Raffa Dec. at 163. PFF 69 Seafrigo Response; *see also* PFF 79 Seafrigo Response; PFF 81 Seafrigo Response (“The details were all placed in the Folders properly labelled with the Seafrigo Invoice Number so that all data could be easily retrieved.”); PFF 83(b)(iii) Seafrigo Response (“Seafrigo supplied supporting documents establishing the same in the folders that match the Seafrigo Invoice Number”); PFF 84 Seafrigo Response (“Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly. Raffa De. [sic]”).

Seafrigo is also wrong in its assertion that Bakerly could not or would not review the documents. The issue was that Bakerly had very little time to review the documents because Seafrigo submitted the documents two weeks late.

Seafrigo did not provide individual folders with information organized by invoice. Instead, Seafrigo dumped two large sets of documents on Bakerly: one set one day after

discovery closed (April 4, 2023) and the other fifteen days after discovery closed (April 18, 2023).

On April 4, 2023, Seafrigo provided a zip file of documents. It was titled “SUI_20230405.zip” It appears to be substantially similar to Exhibit 1A. The zip file contains one folder titled “SUI_20230405.” That folder contains two folders titled “IMAGES” and “NATIVES.” Folder “IMAGES” contains two folders: “001” and “002.” Folder “001” contains 1,000 PDFs: SUI001436 to SUI003469. Folder “002” contains 61 PDFs: SUI001441 to SUI002891. Folder “NATIVES” contains six excels and a Data Base File. The excels are titled SUI002177, SUI002178, SUI002179, SUI002226, SUI002776, and SUI003319.

On April 18, 2023, Seafrigo provided a zip file of PDFs. It was titled “SUI_20230417.zip.” It appears to be substantially the same as the Exhibit 1B. The zip file contains one folder titled “SUI_20230417.” Within that folder, is a folder titled “IMAGES.” Within that folder, are two folders: “001” and “002.” Folder “001” contains 1,000 PDFs: SUI003471 to SUI005428. “Folder “002” contains 216 PDFs SUI005430 to SUI005861.

The zip files provided as exhibits 1A and 1B show the exact folder structure. Based on this, Seafrigo has lied about the labeled folders and has falsified information in its submission to the ALJ.

Perhaps instructive, Brendan Collins’ affidavit covering issues related to discovery does not mention the labeled folders. Perhaps Mr. Collins did not want to lie in a sworn statement to the ALJ, but the submission lies in the brief and throughout the PFF.

Finally, Seafrigo asserts that Bakerly agreed to receive late discovery. Seafrigo Resp. Br at 46 n. 43. That is not the case. Bakerly agreed to provide a few-days grace period for Seafrigo to comply, which they took by filing one day after discovery closed. Regardless of filing time,

Seafrigo's discovery production is insufficient to show any of the conclusions that it draws because they are nonsensical on their face and are not supported by any documentation.

As outlined in the Argument Section below, these deceitful actions merit a proportionate penalty.

B. PivotTable Analysis Merely Reflected Connections that were Already in Seafrigo's Data, and Seafrigo Also Used PivotTables

Seafrigo ignores most of what Bakerly identified through PivotTables, when it repeatedly stated, "Seafrigo is not privy to the analysis purportedly performed by Bakerly, which Bakerly fails to explain." PFF 74 Seafrigo Response; *see also* Seafrigo Responses to PFFs 75, 78, 79. This argument is unavailing for two reasons: First, Seafrigo used a PivotTable in its spreadsheet.² Bakerly PFF 66; *see also* CX01164, CX0129. It cannot credibly assert that it does not understand PivotTables.

And second, PivotTables merely show relationships between data that already exist. For example, a PivotTable shows that for certain data in Column A, the data that is in Column B for those same rows. Bakerly made no changes to Seafrigo's data when it used PivotTables to understand the data that Seafrigo included in the spreadsheet.

Thus, Bakerly's analysis on the following points cannot be disputed by Seafrigo because it is data that Seafrigo produced during discovery:

- For \$471,341.59 worth of transactions, Seafrigo assigned the Cause of Charge as "Unidentified."
- Seafrigo identified that for \$94,660.25 worth of invoices, the invoice was not sent. See Column "PH 2 – Seafrigo Invoice sent".
- Seafrigo identified that for \$865,179.15 worth of invoices, the backup was not sent. See Column "PH 2 – Email with backup sent".

² Sheet 1 of SUI003470 (Exhibit 8 of Seafrigo's Response).

CX01325.

C. CEVA Comparison Shows Seafrigo Lacked Due Diligence

Bakerly compared Seafrigo to another NVOCC (CEVA) for a period of shipments, one that specifically allowed a very good comparison. During this period, CEVA accrued \$0 in D&D and Seafrigo accrued \$60,292.24. See Bakerly PFF 61-63; Compl. Exhibit 7 at CX00136. Seafrigo argues that because CEVA is owned by CMA and Seafrigo is not owned by CMA, Seafrigo's poor performance is excused. PFF 25 Resp. Who the vessel belongs to is not relevant here. The key information is the date of arrival and the port/terminal where the containers arrived. This clearly is a ridiculous argument, as it would imply that CMA would be organized to spot, amongst the millions of containers it carries, the ones whose transportation is managed by CEVA and to favor those rather than the other ones, even when both categories of containers are boarded on the same vessels.

And yet, in two instances, Seafrigo and CEVA used the same vessels (Mandalay and Ever Lasting) but only Seafrigo incurred demurrage, not CEVA. This further proves the poor performances from Seafrigo. See Compl. Exhibit 7 at CX00136. For Seafrigo's claim to be true that there were so many systemic issues related to port congestion, including truck driver shortages, equipment shortages, and Bakerly's warehouse issues, CEVA should have at least incurred *some* demurrage during the same period. The more logical conclusion is that these two companies were operating at different diligence levels during challenging times.

D. Duplicative Invoicing was Unreasonable and Publicly-Available Information does not Remedy the Unreasonable Practice

Bakerly used information that Seafrigo produced in discovery along with publicly-available information to identify the unreasonable duplicative invoicing practice Seafrigo had. The fact that Bakerly can identify, during the course of Discovery, that Seafrigo overcharged

Bakerly and sent unreasonably duplicative invoices with some publicly-available information does not make the practice reasonable. Bakerly paid Seafrigo for a shipping service to pick up loaded containers for door delivery. Seafrigo did not provide any relevant information in its invoices, and it led to overcharges. Just because Bakerly can later identify exactly how much Seafrigo overcharged does not mean that Seafrigo is absolved from the unreasonable practice. The importer and the logistics company have different roles in the commercial relationship. Simply because the fault can be identified does not mean that the fault does not exist. Such false argument is a good indication of Seafrigo's bad faith in this discussion.

When the various invoices were issued to Bakerly, it was not even communicated whether the specific invoice related to loaded containers which had been picked up and demurrage was terminated, or whether this was an interim demurrage charge and that the loaded containers remained at the terminal incurring more demurrage. *See* Compl. Exhibit 9 at CX 00149, CX00152-56. This is clearly unreasonable, and contrary to what Seafrigo alleges, this clearly is not the industry practice. What it does comprise, is an invoicing system that does not encourage fluidity in the U.S. freight delivery system, since these demurrage invoices do not serve the purpose of incentivizing cargo and equipment fluidity, and do not mitigate confusion, but rather create greater confusion. On its face, it is a dire violation of the Interpretive Rule on Demurrage and Detention, regulations in place at the time of these shipments at 46 C.F.R. § 545.5.

E. Seafrigo Admitted to Overcharging Bakerly but does not Reflect that in the Spreadsheet or its Response.

Bakerly PFF 46 outlines that for IMP10-21-07836 Seafrigo invoiced an overcharge of \$12,063.43. Seafrigo should have invoiced a total of \$16,698.00, and not \$28,761.43. (Bakerly Opening Br. at 51-52.) Seafrigo responds by saying "Seafrigo admits that in this isolated instance it overcharged Bakerly by \$8,879.55." PFF 46 Seafrigo Response. But this overcharge is not

reflected in the Spreadsheet and does not comprise the total overcharge of \$12,063.43. For IMP10-21-07836, the Spreadsheet³ shows 6 transactions totaling \$28,761.43. Seafrigo does not state that they overcharged Bakerly. Instead Seafrigo assigned the Cause of Charge to Bakerly's warehouse: under the column "AA" "PH 3 - Cause of charge," Seafrigo assigns "Bakerly Warehouse." See CX01323. This is another example of Seafrigo lacking credibility in its assignment of causes for the charges in the Spreadsheet. Seafrigo admitted in its brief that Seafrigo overcharged Bakerly and yet does not provide any of that information in the Spreadsheet.

F. Seafrigo Failed to Provide Backup Documentation

The emails show that Bakerly repeatedly requested backup information throughout its relationship with Seafrigo. Bakerly has shown emails requesting backup information on invoices from February 2021 to February 2022, and the relationship lasted from January 2021 through March 2022. PFF 88-92 (outlining emails from Bakerly requesting backup documentation from Seafrigo or notifying Seafrigo that insufficient documentation had been provided in the following months: Feb. 2021, June 2021, Sept. 2021, Oct. 2021, Nov. 2021, Jan. 2022, Feb. 2022). Again, although Seafrigo communicated hundreds if not thousands of documents during the Discovery process within a few simple folders, it remains absolutely impossible to link the numerous disputed invoices with relevant and sound back-up justification. And this is not the role of Bakerly, nor of the ALJ to accomplish this impossible task, which is necessarily incumbent to Seafrigo if its intention is to truly elucidate rather than to obscure the facts.

³ Excel spreadsheet SUI003470, hereinafter the "Spreadsheet."

G. Bakerly Repeatedly Refused to Pay Seafrigo for Unsupported Invoices

Seafrigo stated, “Bakerly never disputed its contractual obligation to pay detention and demurrage charges until the amount of detention and demurrage charges increased significantly.” Resp. at 2-3. This ignores Bakerly PFFs 93-101, which all cite actual, contemporaneous emails exchanged between the parties citing examples of Bakerly refusing to pay Seafrigo invoices without backup documentation on the invoices. Bakerly had every right to be suspicious of Seafrigo because of the duplicative invoicing practice that led to overcharges and because of the dearth of information provided in the invoices. PFFs 93-101 (outlining emails from Sept. 2021, Oct. 2021, Nov. 2021, Dec. 2021, Feb. 2022). Seafrigo’s attempts to paint Bakerly as acting in bad faith are controverted by the facts that show Bakerly was continually disappointed in Seafrigo’s performance and repeatedly requested more information from Seafrigo, which was not forthcoming from Seafrigo in any meaningful way.

III. ARGUMENT

A. Seafrigo Violated the Filed Rate Doctrine

Under 46 U.S.C. § 41104(2)(A), “[a] common carrier . . . may not . . . provide service in the liner trade that is . . . not in accordance with the . . . rules, and practices contained in . . . a tariff published.” See *Yang Ming Marine Transp. Corp. v. Okamoto Freighters Ltd.*, 259 F.3d 1086, 1093 (9th Cir. 2001); *Lincoln Transp. Servs., Inc. v. CMA CGM Am., LLC*, 772 F. App’x 593, 594 (9th Cir. 2019); *Lincoln Transp. Servs. v. CMA CGM (Am.), LLC*, 2019 U.S. App. LEXIS 19809 (finding that a carrier whose filed service contract required consignees/shippers to pay all detention charges under certain conditions could not deviate from those terms under 46 U.S.C. § 41104(2)(A) when those certain conditions were present). See also *Laufer Grp. Int’l*,

Ltd. v. RGL-Roam Enterprises, No. CIV.A. H-08-1083, 2009 U.S. Dist. LEXIS 78452, at *7-9 2009 WL 2865824, at *2–3 (S.D. Tex. Sept. 1, 2009) (citing 46 U.S.C. § 41104(2)) (finding that the Shipping Act “prohibits carriers from providing service that is not in accordance with [rates filed under 46 U.S.C. § 40101(a)]”). This is the Filed Rate Doctrine. *Maislin Indus., U.S., Inc. v. Primary Steel, Inc.*, 497 U.S. 116, 127-28 (1990); *Maislin Indus., U.S. v. Primary Steel*, 1990 U.S. LEXIS 3291.

Seafrigo is bound by the terms of its own Rules Tariff and Bill of Lading terms and conditions which allocate demurrage risk to Seafrigo even when neither Bakerly nor Seafrigo are directly culpable for the demurrage on these door delivery moves.⁴ Seafrigo contends “the charges at issue arose due to Bakerly’s failure to remove the containers from the terminal which was not Seafrigo’s responsibility.” Resp. Br. at 18. But door delivery means, quite specifically, the contrary: that Seafrigo has the responsibility to remove containers from the terminal.

Seafrigo argues that the conditional language (“may”) in the Rate Quotation supersedes the terms in Rules 15 and 17. (Resp. at 23.) Seafrigo further interprets Rule 17.1 as eclipsing Rule 17.2 and ignores the narrow context of Rule 15.3: that Bakerly is responsible for demurrage only “[w]here service is port at destination.” Bakerly agrees that the language in the NRA is applicable to Bakerly, but it clearly is stated in language which is conditional. In other words, if demurrage is applicable to Bakerly “it may” be liable for demurrage. However, it is clear to

⁴ Bakerly’s interpretation of Rule 17.2 does not mean, as Seafrigo disingenuously stated, “Bakerly would have no obligation to pay detention and demurrage charges whatever the cause.” Resp. at 5 n.5. As Bakerly stated in the Opening Brief, Bakerly is responsible when it caused the charges. Opening Br. at 23. Seafrigo’s absurd statement fails to recognize and understand Bakerly’s actual arguments, or otherwise misconstrues them.

Bakerly that pursuant to the aforementioned Rule, Bakerly would only be liable for demurrage “where service is port at destination.”

Finally, Seafrigo falsely claims that course of conduct is relevant to the Filed Rate Doctrine and misrepresents Bakerly’s memorandum in support of its motion for partial summary decision by making false arguments about Bakerly’s position—which is, in any case, not currently before the ALJ.

1. Seafrigo’s own Rules Tariff and Bill of Lading terms and conditions which allocate demurrage risk to Seafrigo for demurrage caused by third parties.

The relevant provisions of Seafrigo’s Rules Tariff with respect to demurrage which underscore this conclusion are the following:

**Rule 15
Free Time, Detention, and Demurrage.**

15.3 The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). **Where service is port at destination and removal of containers from the VOCCs marine terminal is the responsibility of Merchant**, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to remove containers within applicable free time.

(Emphasis supplied).

The importance of this section, as noted by the Rule heading, “Free Time, Detention, and Demurrage,” is that it is literally the only provision in the Rules Tariff where Merchant’s responsibility for demurrage is defined.

The qualification for when Merchant is responsible for demurrage involves two pre-conditions: a) “where service is port at destination;” and b) “removal of the containers from the VOCC’s marine terminal is the responsibility of the Merchant.” Neither condition applies to the shipments of this proceeding since all shipments were on a door move basis (not Port service)

and on that same door delivery basis, Bakerly had no responsibility to remove the loaded containers.

Rule 17 **USE OF EQUIPMENT** (pertinent parts to be quoted below)

17.1 **General Provisions**

. . .

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or by the Merchant containers). Merchants use of chassis and containers shall be subject to the requirements of the VOCCs and/or chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agreeing to free time, as well as demurrage and other charges that accrue with respect to containers and chassis used for such transportation, **all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.**(Emphasis supplied).

17.2 **Merchants Risk and Exposure**

Except as otherwise specifically provided in this Rule, and Carriers bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pick up, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, **except to the extent the goods are door cargo; and** (Emphasis supplied).

The provisions must be read in conjunction with the other provisions relating to demurrage in order to provide appropriate, reasonable interpretations of whether Bakerly, the Merchant, in the context of door delivery terms for the shipments in this proceeding, is liable for demurrage in the door delivery context. As we have noted previously, in the most relevant of Rules Tariff provisions dealing with Free Time, Detention and Demurrage, Rule 15.3 clearly

indicates that Bakerly is not responsible for demurrage, except for Port services---i.e., not door delivery transactions.

In Rule 17 which is a section dealing with the “Use Of Equipment”—as opposed to Rule 15 which deals specifically with “Demurrage”—contains a provision in 17.1 above which appears to indicate, contrary to Rule 15.3 that Merchant (Bakerly) would be responsible for demurrage. However in 17.2, the Rule further qualifies the terms of 17.1 by reinforcing that the expenses and risks related to the pick up, transport, and delivery of the goods are for the account of the Merchant “except to the extent the goods are door cargo.”

This is consistent with the terms of Rule 15.3, and it is reasonable to conclude that these Rules must be interpreted so that they both make sense, it would be reasonable to conclude that on door moves the expenses and risks associated with the pick up of the loads, including the risk of demurrage, are not for the account of Bakerly. This would be an interpretation consistent with both Rules 15 and 17 as they related to door moves: the transactions subject of this proceeding.

2. Seafrigo’s interpretation of the terms cherry-picks and renders key terms superfluous

The Rate Quotation states that Bakerly *may* be liable for D&D: “Rate Proposal does not include demurrage and detention charges for which the shipper and/or consignee **may be liable** and port and port terminal handling charges.” (emphasis added). The NRAs also include a “Standard Accessorials [sic] Tariff” “**only if applicable**” that lists “Per diem Charge At cost per terminal or carrier” and demurrage and detention “At cost per carrier.” Seafrigo Ex. 4. The Rules Tariff and bill of lading terms outline when Bakerly is liable and when the Accessorial Tariffs are applicable under the umbrella of “may be liable” and “if applicable,” as set out in the Rate

Quotation. The conditional words “may” and “if” should be interpreted given their ordinary meanings. A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 69–77 (2012).

Seafrigo ignores Rule 17.2, in its interpretation of 17.1. But both terms must be interpreted together, to avoid rendering Rule 17.2 as mere surplusage. The Surplusage Canon requires that “[i]f possible . . . every provision is to be given effect[, and n]one should needlessly be given an interpretation that causes it to duplicate another provision or to have no consequence.” A. Scalia & B. Garner, *Reading Law: The Interpretation of Legal Texts* 171–74 (2012). Thus, 17.1 renders Seafrigo liable for charges “solely attributable to actions or omissions of Carrier [Seafrigo],” and 17.2 renders Merchant (Bakerly) liable for charges, “except to the extent the goods are door cargo.”

Further, Seafrigo ignores “Where service is port at destination” in Rule 15.3. When Seafrigo argues that Bakerly is responsible for demurrage under 15.3, it ironically argues that “Bakerly ignores the reference to Merchant’s responsibility.” Resp. at 18. But Seafrigo is the party that ignores the plain text that they provided in the Rules by ignoring the explicit limitation, “When service is port at destination.”

15.3: The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). **Where service is port at destination** and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

Finally, Rule 17 allocates Risk. Risks associated with maritime shipping include: port congestion, truck driver shortages, and snowstorms. Seafrigo’s own terms and conditions allocated these third-party risks to the Merchant unless the shipments are door cargo. Rule 17.2.1. And, as previously stated, this interpretation (that Seafrigo is liable for risks associated

with pick up on door moves) matches a great classic of Law principles: the party that is operationally in charge bears the risks and responsibilities. The opposite would simply not be logical.

3. Course of conduct and timing of Bakerly's arguments are irrelevant when the Filed Rate Doctrine applies, as it does here.

Course of conduct is not relevant in the Filed Rate Doctrine analysis. Course of conduct is a standard interpretive principle for contract cases. *MCS Industries, Inc., v. Cosco Shipping Lines Co., Ltd. and Msc Mediterranean Shipping Company S.a.*, 2021 WL 6202678, at *7–8 (“Courses of dealing are in fact often integral to contract claims.”). This is not a contract case: It is an FMC complaint based on violations of the Shipping Act, including failure to follow tariff provisions pursuant to 46 U.S.C. § 41104(2)(A) (“[a] common carrier . . . may not . . . provide service in the liner trade that is . . . not in accordance with the . . . rules, and practices contained in . . . a tariff published.”).

The jury cases cited in Seafrigo's response are improper in this context since the court and jury would not have jurisdiction over Shipping Act violations. In the communications context, as well as in maritime shipping, cases show that the Filed Rate Doctrine and course of conduct cannot both apply. *Telecom Int'l Am., Ltd. v. AT & T Corp.*, 187 F.R.D. 492, 497 (S.D.N.Y. 1999) (finding that the Filed Rate Doctrine and course of deadlines are “independent” issues); *Qwest Commc'ns v. Glob. NAPs*, No. CIV.A. 06-873, 2007 WL 7714219, at *4 (E.D. Va. Feb. 5, 2007); *Qwest Communs. v. Global NAPs*, 2007 U.S. Dist. LEXIS 102574 (finding that the Filed Rate Doctrine does not apply when the course of conduct for a contract is being reviewed).

Further, Seafrigo's attempts to paint Bakerly in bad faith are unavailing. The Filed Rate Doctrine provides that a party must be refunded if they are charged more than the filed rate. This

assumes that the party paid the rate initially. Just because Bakerly paid some of the demurrage, does not mean that it has waived its right to recover under the Filed Rate Doctrine.

If parties could only recover when they did not pay the charges this would hamper the Filed Rate Doctrine from remedying much of what it seeks to achieve. Seafrigo's reluctance to recognize that it operates in a regulated environment and that the Filed Rate Doctrine has a strict liability effect notwithstanding what other legal contract theories might espouse, seems disingenuous at best. And repeating the contrary over and over as Seafrigo has done in this proceeding or by drafting argument sections in caps, does not alter the fact that Seafrigo must adhere strictly to the Rules that, under this regulatory system, Seafrigo itself set up in its Rules Tariff. It is also not relevant when Bakerly first became aware of the specific provisions of the Rules Tariff at Sections 15.3 and 17.1 and 17.2.

The Filed Rate Doctrine, as we have explained in detail herein and in prior filings, dictates what the prevailing rates, practices, and charges are or should have been applied. Not one penny more, nor one penny less. Further, it is not extraordinary for shippers like Bakerly to never have heard of the Filed Rate Doctrine until they have had the need for legal counsel which explains it to them. Nonetheless, the regulatory system is in effect.

4. Seafrigo's arguments for interpreting the terms and conditions are nonsensical and avoid provisions.

Seafrigo argues that "the shipper or consignee bears the ultimate responsibility for paying detention and demurrage charges." Seafrigo Response at 9; *see also id.* at 6. In fact, it is well established that the shipper and carrier are bound by the bill of lading. The Consignee needs to agree to be bound. In any case, the NVOCC (Seafrigo) is the consignee responsible to the VOCC and terminal, and has the duty to mitigate charges to it if it is, in fact, going to be bound, by the bill of lading terms and conditions. Bakerly, in turn, when it is identified as Seafrigo's

consignee, is also not automatically bound by the term, “Consignee,” especially in this instance where its responsibilities are re-defined by Seafrigo’s Rules Tariff as has been amply discussed herein.

While a “consignee” is included within the definition of “Merchant” in Seafrigo’s house bill of lading (“HBOL”), it is well established as a matter of law that “[a] party cannot unilaterally employ definitions to bind the other [party to] . . . provisions to which the other [party] has not consented to be bound.” *Zim American Integrated Shipping Services Co., LLC v. Sportswear Group, Inc.*, 2021 WL 5450117 at *4 (S.D.N.Y. November 18, 2021); *Zim Am. Integrated Shipping Servs. Co., LLC v. Sportswear Grp., LLC*, 2021 U.S. Dist. LEXIS 223441 citing *Stein Hall & Co. v. S.S. Concordia Viking*, 494 F.2d 287, 291 (2d Cir. 1974) and *United States v. Waterman S.S. Corp.*, 471 F.2d 186, 189 n.4 (5th Cir. 1973).

A consignee such as Bakerly under Seafrigo’s bill of lading can manifest consent to the bill of lading terms by accepting the goods under it, or otherwise exercising dominion over the cargo, but that does not mean that Bakerly accepts the demurrage burden in contradiction to Seafrigo’s Rule 15.3 and 17. There is no magic wand by which Seafrigo can overcome its own Rules Tariff provisions by including Bakerly, the consignee, as a Merchant under its bill of lading. Bakerly has not so bound itself in that manner by the mere designation of it as a Consignee in the Seafrigo bill of lading, even when accepting the cargo. The controlling relationship between Seafrigo and Bakerly in the demurrage context is not its designation as Consignee, but rather by the very specific language of Rules 15.3, 17.1, and 17.2.

In the case at hand, Seafrigo has, by its own Tariff Rules, allocated the demurrage risk on door moves to Seafrigo. If it did not intend to do so, it may still correct that for future shipments, but under the Filed Rate Doctrine it has to be bound by its own rules on door deliveries for

shipments undertaken while those rules were in place. This is not something Bakerly has made up for its own benefit. The Rules Tariff and other provisions of U.S. maritime law define the rules by which this industry operates. Again, if Seafrigo does not desire to have this relationship defined in this manner for door deliveries, it is within its power to amend its Rules Tariff. That is also part of U.S. maritime law. However, whatever Rules were in place at the time of the subject shipments are applicable to those transactions.

5. Should the Rules Tariff not exempt Bakerly from demurrage that it did not cause, Seafrigo failed to exercise due diligence and is liable for the charges.

To start, Seafrigo disputes a majority of the comments that it drafted in the spreadsheet that it produced during discovery. Perhaps this is bad faith or perhaps it is a failure to review its own spreadsheet. Regardless, for the following totals of transactions, Seafrigo shows its own lack of due diligence in its production. And Seafrigo lacks any credibility in disputing these facts.

- For \$94,660.25 worth of invoices, Seafrigo admitted that it did not send an invoice.
- For \$865,179.15 worth of invoices, Seafrigo admitted that it did not send an email with backup.
- For \$179,289.45 worth of invoices, Seafrigo admitted that it could not find an email back to customer.
- For \$579,391.53 worth of invoices, Seafrigo admitted that back up is not available.
- For \$760,169.17 worth of invoices, Seafrigo admitted that Bakerly was not notified.

(PFF ¶ 83.)

The Seafrigo notes admit imprecise, unreasonable, and careless practices. The value of the invoice is listed on each bullet below—some comments are on the same invoice line (in Columns PH 2 - Notes and PH 3 - Notes), so we cannot total them to \$298,810.12, instead the total is \$260,908.23:

- Demurrage was paid at three different times for three different amounts on one charge. **\$7,927.00**
- No email back to customer was found.: **\$179,289.45**
- “In looking at the file I have reason to believe that we did infact [sic] double bill the client on the demurrage and incorrectly double posted the same cost to the file. It is not a loss, it just needs to be credited from the file. MCN 2/2/23 SSFN21005156 explained to Al there is a dup charge of \$3650 on the file but no proof of paying twice”: **\$3,659.50**
- “Invoice was never sent to anyone; sent to m.klampfl@seafrigo-usa.com on Feb 3rd, 2023”: **\$24,888.00**
- “No proof on website that this was actually paid”: **\$1,389.00**
- “Several containers that may not pertain to Bakerly are not in Paycargo rcpt. . . .”: **\$15,453.00**
- “The Additional \$4300 may not be valid. there is no receipt available to prove it was actually paid out. May be a dup.”: **\$17,820.00**
- “This is not a Bakerly file”: **\$3,037.55**
- “Billed on dummy file. Unable to find proof of any per diem payment in CW or IES.”: **\$1,245.00**
- “BRIDOR SHIPMENT”: **\$44.00**
- “Cannot locate anything on this”: **\$4,849.00**
- “IN ADDITION TO CUSTOMS HOLD THE SSL TOOK A LONG TIME TO SEND US DEMURRAGE INVOICES AND TOOK LONGER TO UPDATE THE TERMINAL WITH THE RELEASE. BY THE TIME THE TERMINAL WAS UPDATED IT WAS TOO LATE FOR THE CARRIER TO PICK UP THE CONTAINER.”: **\$36,171.07**
- “OVERSEAS”: **\$3,037.55**

(PFF ¶¶ 66-85.)

The poor-quality tracking information captured in the spreadsheet shows the lack of credibility that Seafrigo has, as to the diligence it exhibited while containers were in its custody:

- To begin, Seafrigo assigned \$470,552.59 of charges with the cause as “N/A.” For over 15%⁵ of the charges, Seafrigo apparently has no explanation of the cause.
- Seafrigo admitted that it was at fault for \$8,943.50 fewer charges between one round of review and the next. Even though in the second round of review, Seafrigo reviewed 256 more transactions. Even worse, Seafrigo failed to identify the rationale behind this re-assignment of fault.
- Bakerly admitted to causing \$198,551.87 in charges (add citation to Bakerly PFF for this), and yet, Seafrigo did not agree that those transactions were caused by Bakerly. For \$16,040.37 of the charges that Bakerly took responsibility for, Seafrigo found itself at fault, and for \$109,695.42, Seafrigo assigned “N/A” as the cause. This seems nonsensical, especially for the \$109,695.42 of purportedly “N/A” caused charges. Seafrigo should have at least considered Bakerly’s ownership of the charges as a significant reason. And if Seafrigo disagreed that Bakerly caused the charges, Seafrigo should point to a rationale for that decision, especially when Bakerly had already owned up to these charges.
- For 193 transaction amounting to \$880,597.20 in charges, Seafrigo assigned “Bakerly Warehouse” as the cause of the charge, but in the notes, Seafrigo describes that “CLIENT WAS ADVISED VIA EMAIL BLAST THAT DUE TO MARKET CONDITIONS AT THE TIME THAT PER DIEM OR DEMURRAGE MAY APPLY.” An email blast explaining that “market conditions” *may* lead to per diem or demurrage in no way explains that a Merchant’s warehouse is at fault for demurrage or per diem.
- Finally, for those charges that Seafrigo assigned to “Bakerly Warehouse” that do not suffer from a glaring error, Seafrigo does not provide any documentation explaining the assignment. This amounts to 205 transactions for a total of \$518,494.69.

(PFF ¶¶ 66-85.)

Additionally, Seafrigo repeatedly claims that it sent backup documentation to Bakerly. Seafrigo

Resp. Br. at 13, 14, 41, 48. Apparently, as Seafrigo’s argument would have to go, Bakerly

imagined that it was not receiving back up documentation over the course of the September 2021 to February 2022 when it sent the following emails:

- Bakerly repeatedly requested backup information from Seafrigo, to include the underlying invoices to substantiate the invoices from Seafrigo. CX00628 (2/17/22).
- Bakerly notified Seafrigo that if information is not shared in real time, Seafrigo is not able to track containers correctly, Seafrigo is responsible for “find[ing] drivers to take the

⁵ \$470,552.59 divided by \$2,974,962.46 = 15.817%

containers from the port”, Seafrigo is failing to retrieve empty containers in time, D&D invoices are not provided with supporting documentation in 1/28/22 email CX00630;

- 1/1/22 to 2/10/22 Bakerly requesting backup documentation via email CX00634.
- Bakerly requested information on containers and requested responses to overdue emails. CX00850-55 6/16/21.
- Bakerly requested backup documentation for invoices. CX00696 9/19/21; CX00718 2/28/21; CX00500-01.
- The parties had agreed that Seafrigo would provide a D&D report to Bakerly, but it was not provided until October 2021: “We are also still waiting for the weekly D&D report I discussed on my last call with Jerome. Without this report we are flying completely blind and have no control/vision over the demurrages we are incurring. It’s also preventing us from approving the invoices in a timely manner as we have to manually research what happened with the containers in order to approve the charges. I can’t stress enough how important this report is for us, it would help for instance highlight demurrage for containers where Bakerly is responsible like the ones in this email thread below where we made a last-minute change.” CX00225 (October 20, 2021); Charles requesting the weekly D&D report (on 10/20/21) that was never received and outlining that Bakerly was able to find drivers in one instance much faster than Seafrigo and sharing the review of 165 invoices. CX00668. Bakerly never received a response as of 11/12/21 CX00667 and did not receive response until 11/13/21 CX00666. See also CX00385 (communication between Bakerly and Seafrigo regarding the continuous inconsistency of the daily reports received. See samples of serious inadequacy of Report information provided by Seafrigo which is consistent with information received that their software was inappropriate); CX00634 (Al admitting that the report of backup documentation is insufficient 2/10/22). And when Seafrigo did send the reports they were insufficient.
- In November 2021, after no response from Seafrigo on Charles Lefort’s email sent in October; Charles Lefort sent another email to Seafrigo’s management team to confirm that: (a) Bakerly will automatically reject any D&D invoices without proper reporting and invoice backup showing details/explanations on the reasons for D&D; (b) Bakerly will start transitioning drayage services to a third-party provider to limit the impact on the lack of drivers for which Bakerly had no daily/weekly updates from Seafrigo; (c) Bakerly still wants to be good partners and pay the invoices, but that they can’t do that without any proper invoice backup. CX00021.

Further, Seafrigo does not provide any evidence that it sent backup documentation. Your honor must weigh the credibility of the above list of real-time emails over many months with Seafrigo’s unsupported assertion that it sent the backup documentation.

Finally, Seafrigo's performance compared to another NVOCC shows that Seafrigo lacked due diligence. Bakerly contracted with CEVA to deliver containers on door delivery to the same port during the same time period as Seafrigo, and CEVA incurred \$0 in D&D and Seafrigo incurred \$60,292.24 in demurrage charges.

Seafrigo argues that because CEVA is owned by CMA and Seafrigo is not owned by CMA, Seafrigo's poor performance is excused. PFF 25 Resp. As previously stated, this clearly is a ridiculous argument, as it would imply that CMA would be organized to spot, amongst the millions of containers it carries, the ones whose transportation is managed by CEVA and to favor those rather than the other ones, even when these both categories of containers are boarded on the same vessels. Furthermore, in two instances, Seafrigo and CEVA used the same vessels (Mandalay and Ever Lasting) and delivered to the same terminal, but only Seafrigo incurred demurrage, not CEVA, proving the poor performances from Seafrigo. See Compl. Exhibit 7 at CX00136. For Seafrigo's claim to be true that so many systemic issues related to port congestion, including truck driver shortages, equipment shortages, and Bakerly's warehouse issues, CEVA should have at least incurred *some* demurrage during the same period.

B. Seafrigo Established an Unreasonable Practice and Policy of Sending Duplicative Invoices.

Seafrigo's invoices were unreasonable because they did not inform Bakerly "who is being charged, for what, [and] by whom." *Notice of Proposed Rulemaking: Interpretive Rule on Demurrage and Detention Under the Shipping Act (Notice Interpretive Rule)*, 84 Fed. Reg. 48850, 48853, 48855 (Fed. Mar. Comm'n Sept. 17, 2019). The Commission requires that demurrage and detention bills should have "enough information to allow cargo interests to meaningfully contest the charges" which goes towards the efficacy (and reasonableness) of one's

policies. (PFF ¶ 13.) Seafrigo's practice of duplicative invoicing fails to meet this requirement for \$1,040,254.65 worth of invoices.

Seafrigo acknowledges that it is their recurring billing practice to send duplicative (multiple) invoices for the same type of charge (i.e., demurrage) for a single shipment before demurrage had stopped accruing. Raffa Dec. at 80. Seafrigo repetitively issued more than one invoice per purchase order for \$1,040,254.65 worth of invoices. CX00138-56; Compl. Exs. 8, 9. While Seafrigo has done so on a continuous basis, this practice is fundamentally flawed as it leads to overcharges, inaccurate fees, and invoicing with little to no information on the basis and status of the charges being assessed.

Seafrigo attempts to justify its duplicative invoicing practice by arguing it is an industry practice and by placing blame on the terminal, Bakerly, Covid, port congestion, and a multitude of other excuses. *See* CX01412, Seafrigo Resp. Br. at 11, 12, 39, 21 n. 22. *See also* SPFF at 121. Without acknowledging its own hand in the issues that their billing practice has created, Seafrigo first contends that the duplicative invoicing is due to detention and demurrage accruing after the date when containers were scheduled to be picked up or returned. Seafrigo further contends that its duplicative invoicing reflects the billing practice of the underlying carrier or terminal. Seafrigo Resp. Br. at 13. Both excuses lack merit. And neither excuse explains the overcharges.

Instead, the industry practice is for NVOCCs to invoice demurrage when the NVOCC has picked up the loaded containers, and it has either been released on credit to the NVOCC or the NVOCC has paid for the demurrage to allow for its release. However, Seafrigo disregards this and issues duplicative, unsubstantiated invoices without having the invoices from the terminal and without providing any reference information as to what the invoices relate. This practice shows Seafrigo's unsuccessful attempts to estimate what it believes will be charged by the

terminal thus conflating the charges instead of assessing the concrete amounts from substantiated terminal invoices. This unreasonable practice leaves Bakerly vulnerable to the errors and confusion which Seafrigo's duplicative invoices have caused and offends the basic requirement to pass through only charges which have been assessed by the terminal.

1. Duplicative invoicing occurred on a recurring, customary, and continuous basis.

Bakerly is not required to identify and prove every instance of error within Seafrigo's billing practices. *See Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC Possible Violations of 46 U.S.C. § 41102(c)*, 2022 FMC LEXIS 156, at *4; 2022 WL 3093193, at *32 (Apr. 22, 2022) (Discussing that each violation does not require proof but instead a showing that the policy and practice itself is unreasonable will suffice). Here, Bakerly meets its burden by establishing that Seafrigo's duplicative invoicing for containers wherein demurrage was still running is a practice that is recurring, customary, and continuously taken by Seafrigo.

Container SEGU9388853

- For this container (in six different invoices),
Seafrigo over-charged Bakerly **\$12,063.43**
- The six demurrage invoices totaled **\$28,761.43**
- The actual charge for this container
based on Bakerly's review **\$16,698.00**

Container SEGU9420024

- For this container (in three different invoices),
Seafrigo over-charged Bakerly Between **\$1,885.86** and **\$5,118.86**
- The three demurrage invoices totaled **\$13,496.86**
- The actual charge for this container
based on Bakerly's review Between **\$8,378.00** and **\$11,611.00**⁶

Clearly, these invoices lack the proper information in violation of 46 U.S.C. § 41104(d)(2).

Specifically, the invoices did not provide viable information such as the last free date, the status of the container, nor a reference to the pickup event which occurred on 10/27/2023 but had issued invoices dated November 3, 2021, and November 5, 2021.

2. Even Seafrigo cannot explain the overcharges

For Container SEGU9420024, Seafrigo claims that Maher Terminal's finance fee accounts for the discrepancy at 3.99%—an absurd explanation at best because Seafrigo does not explain whether the \$8k figure or the \$11k figure were proper. PFF 47-48 & Seafrigo responses. And in either case, 3.99% would at most explain a \$334.28 to \$463.28 difference in charges,⁷ *not* a discrepancy between \$1,885.86 and \$5,118.86.

For Container SEGU9388853, Seafrigo also claims that a 3.99% finance charge explains a 42% overcharge.⁸ PFF 44-46 & Seafrigo responses. 42% is not a rounding error, as Seafrigo claims. Seafrigo Resp. at 15.

⁶ \$8,378 based on Maher terminal rates or at most \$11,611 based on Hapag-Lloyd terminal rates. Seafrigo fails to respond to which amount should be charged—even Seafrigo does not know what the proper charge should be. PFF 48 Resp.

⁷ 3.99% of \$8,378.00 and \$11,611.00 is \$334.28 and \$463.28, respectively, leading to a total of \$8,712.28 or \$12,074.28—not \$13,496.86.

⁸ Seafrigo charged \$28,761.43, when it should have charged \$16,698.00. \$12,063.43 is 42% of \$28,761.43.

Based on the current provisions of 46 C.F.R. § 545 and 46 U.S.C. § 41102(c) which has now been codified in 46 U.S.C. § 41104(d), Seafrigo's failure to include such pertinent information on demurrage and detention charges effectively eliminates any obligation of the charged party to pay the applicable charge.

By the way, this additional charge (finance penalty of 3.99%) shows as well Seafrigo's lack of due diligence when managing Bakerly's shipments, as a properly managed shipment should have avoided any finance penalty. In the business world, vendors traditionally explain these cost activities. In this instance it is discovered after the fact. Again, as has been demonstrated here, the credit charge excuse is a lame reach which does not explain anything except to underscore the unreasonable practice.

3. Seafrigo's duplicative invoicing was unreasonable

The policy of duplicative invoicing, without explanation and without substantiating invoices led to significant confusion, delay, and ultimate monetary loss of which Bakerly is seeking refund of the \$138,420.33 in demurrage and \$7,349.00 in detention amounts paid. In sum, Seafrigo has provided little to no information with respect to its multiple invoice billings per purchase order yet seeks to pin blame on Bakerly for errors embedded in their own billing practice. The invoices from Seafrigo which they allege provide supporting documentation lack the basic information required by law such as "who is being charged, for what, [and] by whom." Notice of Proposed Rulemaking: Interpretive Rule on Demurrage and Detention Under the Shipping Act (Notice Interpretive Rule), 84 Fed. Reg. 48850, 48853, 48855 (Fed. Mar. Comm'n Sept. 17, 2019). Moreso, the invoices certainly do not provide "enough information to allow cargo interests to meaningfully contest the charges" which essentially goes towards the efficacy

(and reasonableness) of one's policies. *Id.* As such, Seafrigo's invoices are the proximate cause of loss for Bakerly and are a glaring display of the unreasonableness of its duplicative invoicing.

C. Seafrigo Should Not Have Paid Demurrage When the Ports Were Closed Due to a Snowstorm.

Under 46 C.F.R. § 545.5, Seafrigo should not have paid the demurrage while the ports were closed from a snowstorm, because demurrage is unreasonable when the containers are unable to be removed from the port.

Seafrigo claims to have sought mitigation from the lines or terminals, but Seafrigo does not provide any documentation of these actions. During the February 2021 call, Jerome mentioned that Seafrigo was going to talk to the carriers to try to get some relief or a refund but no follow up was ever made on this to Bakerly. Bakerly Reply Resp. PFF 20. Seafrigo never again mentioned the actual meetings. As to the documentation provided on this point, SPPF 166-167 and exhibit 56 do not show that Seafrigo tried to waive all the charges caused by the snowstorm. Instead, these emails show an exchange with MSC on some isolated containers and D&D charges. This is insufficient information to show that Seafrigo sought relief from the carriers or terminals for all the charges related to the snowstorm period. It also does not confirm that Bakerly was informed of that fact.

Seafrigo argues that "on December 5, 2022, Bakerly asserted that it was not disputing Seafrigo's right to be reimbursed for amounts Seafrigo expended as a result of port closures due to snowstorms in December of 2020 and January of 2021." Seafrigo Resp. at 7. Seafrigo cites to Exhibit 45, which contains two separate and unrelated email chains. On the first page, the email does state that Bakerly would be providing "matters Bakerly will not be disputing . . . on the snowstorm issues." Ex. 45. That follow-up material was provided in the Bakerly Letter Response to Meet and Confer dated December 14, 2022:

Bakerly is collecting documents to support exhibit 12 (exhibit to Bakerly's Responses to Respondent's First Set of Interrogatories), which outlines the transactions for which detention and demurrage accrued because of weather-related events. Bakerly has agreed without prejudice to remove from the claim, **if Seafrigo agrees to jointly pursue these claims from the carriers.**

CX00383.

Bakerly agreed to remove the snowstorm charges from the claim, if Seafrigo jointly pursued the claims from the carriers. Seafrigo declined to pursue the claims from the carriers, and Bakerly has maintained that it is not liable for these charges. Regardless of Bakerly's arguments, the Rules Tariff and bill of lading provisions do not allocate risk for charges caused by third parties to Bakerly. *See supra*, Section III.A.

D. Seafrigo's Responses to Bakerly's Discovery Request Violated Rule 33 and Seafrigo Made Additional Untrue Statements to the ALJ in its Response that Merit Sanctions.

1. Seafrigo's discovery response was unduly burdensome and lacked clear information in violation of Rule 33

Federal Rule of Civil Procedure 26(g)(1)(B)(iii) requires discovery responses be made in a manner which is not unduly burdensome or causing of unnecessary delay or increased cost of litigation. Seafrigo's discovery production violates this very premise. Not only was production provided late, but the documents also lacked clear information to provide Bakerly with descriptive information for which document related to each request. Seafrigo having primary knowledge of the 2000 plus pages it provided had a duty to provide sufficient detail to Bakerly which it did not do. On April 4, 2023, one day late, Seafrigo provided its 1,061 documents of production and on April 18, 2023, many days late, it provided another 1,216 documents without indication of what had been previously produced and which documents supported which

transactions.⁹ The documents which contained no reference guide nor explanation placed an impossible burden on Bakerly to ascertain the nature and connection of the documents to the Spreadsheet of all transactions.

Which, by the way, leaves only two alternative options:

- Either Seafrigo had a clear view and understanding of the operations, accounts, and invoices for Bakerly's shipments, and then Seafrigo made on purpose a confusing presentation of all disputed transactions;
- Or either Seafrigo is simply unable to have such a clear comprehensive view of all transactions, but however repeatedly pretended the contrary, even in due course of this proceeding.

2. Statements made in Seafrigo's response brief amount to sanctionable misconduct

Attorneys admitted to practice before the Commission are "expected to conform to the standards of conduct set forth in the ABA Model Rules of Professional Conduct" and the Commission's Rules of Practice and Procedure. 46 C.F.R. § 502.26. ABA Model Rule 3.3 imposes a duty of candor toward the tribunal and states in particular, that a lawyer "shall not knowingly *make a false statement of fact or law to a tribunal* or fail to correct a false statement of material fact or law previously made to the tribunal by the lawyer." *Id.* (emphasis supplied).

In addition to Rule 33 violations, perhaps most egregious are Seafrigo's effort to mislead the ALJ by making numerous misrepresentations that characterize the discovery it produced to Bakerly as a perfectly wrapped gift. Seafrigo in this regard pretends that the documents that they have produced were sufficiently labelled to provide Bakerly with enough information:

⁹ To be abundantly clear, Bakerly reviewed all of the discovery produced by Seafrigo prior to drafting the Opening Brief. However, Seafrigo misrepresented to the ALJ in the response to Motion for Enlargement of Time and provided a true "dump" of documents that exacerbated the time and cost to review—because the documents were not cited in the spreadsheet or in any other analysis and because some documents were re-produced without any indication (either by Bates labelling or a list) as to which documents had been produced previously.

“Seafrigo provided labeled folders referring to the Seafrigo Invoice number so as to permit Bakerly to identify which supporting documents related to which Seafrigo invoice.” Raffa Dec. at 163.

“Seafrigo provided folders reflecting the shipping documents and communications related to specific invoices.” Seafrigo Resp. Br. at 41 n.38

“Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly.” Raffa Dec. at 13.

“The details were all placed in the Folders properly labelled with the Seafrigo Invoice Number so that all data could be easily retrieved.” Raffa Dec. at 30.

This is not the case. As if the Commission cannot verify the nature and manner in which Seafrigo’s production was provided, Seafrigo blatantly lies about providing Bakerly with labelled folders with invoice numbers that would allow Bakerly to easily identify and retrieve the supporting documents. Quite contrary, the extent of Seafrigo’s efforts to label and identify the produced documents that explain the cause of charge for almost 900 transactions was a general “dump” of documents provided via zip files. The zip files provided as exhibits 1A and 1B show the exact folder structure or lack thereof. On April 18, 2023, Seafrigo provided a zip file of PDFs titled “SUI_20230417.zip”. The zip file contained one folder titled “SUI_20230417.” Within that folder, is a folder titled “IMAGES.” Within that folder, are two folders: “001” and “002.” Folder “001” contained 1,000 PDFs: SUI003471 to SUI005428. “Folder “002” contained 216 PDFs SUI005430 to SUI005861. That is the sum of identification provided by Seafrigo. Contrary to what Seafrigo describes, at no point did Seafrigo provide “labelled folders” with which to identify or ascertain the PDFs and documents related to each transaction.

Seafrigo provided a similar production scheme on April 4, 2023. A zip file of documents titled “SUI_20230405.zip” which appears to be substantially similar to the documentation

provided on April 18, 2023, was provided by Seafrigo to Bakerly. The zip file contained one folder titled “SUI_20230405.” That folder contained two folders titled “IMAGES” and “NATIVES.” Folder “IMAGES” contained two folders: “001” and “002.” Folder “001” contains 1,000 PDFs: SUI001436-SUI003469. Folder “002” contains 61 PDFs SUI001441-SUI002891. Folder “NATIVES” contains six excels and a Data Base File. The excels are titled SUI002177, SUI002178, SUI002179, SUI002226, SUI002776, and SUI003319. Again, Seafrigo provided unorganized documents that in no way amount to what it has described in its submission to the ALJ.

Tribunals have the “inherent powers . . . to manage their own affairs so as to achieve the orderly and expeditious disposition of cases,” including “the ability to fashion an appropriate sanction for conduct which abuses the judicial process.” *Goodyear Tire & Rubber Co. v. Haeger*, 137 S. Ct. 1178, 1186 (2017) (quoting *Chambers v. NASCO, Inc.*, 501 U.S. 32, 44-45 (1991)); 46 C.F.R. § 502.12. Regarding the misconduct giving rise to the sanction, courts have routinely found that an adverse evidentiary determination is appropriate when a preponderance of the evidence establishes that the conduct was negligent. *3E Mobile, LLC v. Global Cellular, Inc.*, 222 F. Supp. 3d 50, 54 (D.D.C. 2016) (citing *Shepherd*, 62 F.3d at 1478).

Sanctions are warranted here. Seafrigo not only failed to provide in good faith its production discovery documents in violation of Rule 33, but they also boldly made repeated statements to the tribunal which are verifiably untrue. Misrepresentations to the Commission should not go unpunished and encourage deceptive practices which have no place before the FMC nor any court of law. At the very least, Seafrigo should be sanctioned with an adverse evidentiary determination and precluded from challenging this issue or precluded from seeking

attorney's fees, if they should exercise the temerity that such a request would require in these circumstances.

3. Bakerly is prejudiced by Seafrigo's bad faith conduct

Bakerly is clearly prejudiced by Seafrigo's bad faith conduct. The nonsensical manner in which Seafrigo provided discovery documents denied Bakerly the ability to conduct discovery review in an efficient manner and imposed an undue burden on Bakerly to ascertain that which was within Seafrigo's clear knowledge to provide. Had Seafrigo provided labelled folders that identified which documents related to the numerous transactions, or even if Seafrigo had provided a file explaining the connection between the documents provided, or had they at least provided folders for each invoice as they have claimed, Bakerly would not have been nearly as prejudiced as it prepared its opening brief.

4. Bakerly is Entitled to attorneys' fees for the violations

Seafrigo's misleading statements to the ALJ and discovery failures created significant fees for Bakerly to be required to request an enlargement of time during its brief writing period, review a "dump" of documents two weeks after the discovery deadline and into the brief writing period. Attorney's fees are appropriate for Seafrigo's bad faith in order to compensate for "the sum total of the fees that, except for the misbehavior, would not have accrued." *Intermodal Motor Carriers Conference, American Trucking Associations, Inc. Complainant, v. Ocean Carrier Equipment Management Association, Inc., Consolidated Chassis Management, LLC, Cma Cgm S.a., Cosco Shipping Lines Co*, 2021 WL 4287417, at *6. Bakerly is prepared to provide the fees that "were incurred because of, and solely because of, the misconduct at issue." *Goodyear Tire & Rubber Co. v. Haeger*, 137 S. Ct. 1178, 1189 (2017).

E. The Reasonableness Standard of the Interpretive Rule was in place Pre-OSRA 2022.

Section 545.4 Interpretation of Shipping Act of 1984 has been established since December 17, 2018 and allows for claims of unreasonable receiving, handling, storing, or delivering property to be brought against ocean common carriers. 46 C.F.R. § 545.4. In 2022, the reasonableness standard was codified by the enactment of OSRA 2022. Pub. L. 117–146, §1, June 16, 2022, 136 Stat. 1272. Seafrigo attempts to skirt its obligations to adhere to the reasonableness standard codified at 46 C.F.R. § 545.4 by asserting that the shipments at issue took place prior to OSRA’s enactment. This flawed reasoning fails to acknowledge the clear fact that reasonableness obligations existed prior to OSRA codification in 2022. Bakerly cites the Incentive Principle 46 C.F.R. § 545.5(c) which has been in effect since May 18, 2020. OSRA 2022 has to a large extent codified the Interpretive Rule effective June 16, 2022, but the regulations were in effect during the whole period of the transactions subject of this proceeding.

IV. CONCLUSION

The total sums invoiced to Bakerly by Seafrigo as noted in Exhibit 2 during the Period was \$2,973,475.29. (PFF ¶ 49.) Removing \$198,551.87 from the total it originally claimed (\$95,207.56 in demurrage and \$103,344.31 in detention) for those invoices that Bakerly accepts responsibility, the total is \$2,774,923.42. (PFF ¶ 49.) Of this amount, \$2,262,036.97 is for demurrage, and \$512,886.45 is for detention. (PFF ¶ 49.) As Bakerly has already paid \$973,227.05 demurrage to Seafrigo, Bakerly is seeking that this amount be refunded to Bakerly per the allegations in Count 1; for the amount of demurrage which has not been paid which is disputed by Bakerly in the amount of \$1,288,809.92 Bakerly requests that this amount be held as unlawfully charged per the averments in Count 1, and that Seafrigo be directed to cease and desist collection of this amount. (PFF ¶ 49.) On the detention side, Bakerly has paid \$278,172.37

to Seafrigo, and \$234,714.08 detention charged remains unpaid. (PFF ¶ 49.)

Under Count 1, because Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage to Bakerly when the Rules Tariff and bills of lading required door delivery and violated 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R § 545 (Interpretive Rule) because the demurrage charges were inconsistent and unreasonable given the door delivery requirement and the Rules Tariff provisions which specifically exempted Bakerly from demurrage in door delivery circumstances, Bakerly is entitled to be refunded for the \$973,227.05 in demurrage that has been paid and Bakerly is entitled to be excused from paying amounts not previously paid \$1,288,809.92. Seafrigo should further be directed to cease and desist collection of \$1,288,809.92.

Under Count 2, Seafrigo violated 46 U.S.C. § 41104(a)(14)-(15)(A), (B) because Seafrigo charged D&D inconsistently and unreasonably under 46 U.S.C. § 41102(c) through a duplicative invoicing practice that also violated the Interpretive Rule on D&D (46 C.F.R. § 545). Thus, Bakerly is entitled to \$1,040,254.65 for duplicative invoicing, to the extent those charges are not covered by recovery under Count 1 or Count 3.¹⁰ For demurrage (totaling \$1,022,663.10), \$884,242.87 is unpaid by Bakerly and Seafrigo should be directed to cease and desist collection. And \$138,420.23 has been paid. Thus, Bakerly is entitled to the \$138,420.23. Further, for detention (totaling \$17,591.55) \$10,242.55 is unpaid by Bakerly and Seafrigo should be directed to cease and desist collection. And \$7,349.00 has been paid and Bakerly is entitled to a refund.

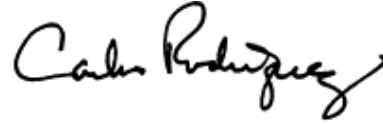
Under Count 3, Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage and detention to Bakerly during the Snowstorm Period in violation of 46 U.S.C. §§ 41104(a)(14),

¹⁰ Two invoices were during the Snowstorm Period and were issued under Seafrigo's duplicative invoicing practice: IMP10-20-09444-02, IMP10-20-09444-03.

(15); 41102(c) and 46 C.F.R § 545 where weather as well as closed facilities impeded movement of containers during the snowstorm period. Thus, Bakerly is entitled to \$361,178.54, to the extent those charges are not covered by recovery under Count 1 or Count 2.

Dated: June 14, 2023

Respectfully Submitted,

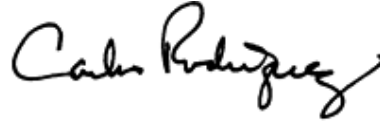


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CERTIFICATE OF SERVICE

I hereby certify that on this **fourteenth day of June 2023**, a copy of the foregoing Opening Brief and the attached Reply Responses to the Proposed Findings of Fact, Responses to the Supplemental Proposed Findings of Fact, and Affidavit has been served upon all counsel of record in accordance with 46 C.F.R. § 502.

A handwritten signature in black ink, reading "Carlos Rodriguez", followed by a vertical line.

Carlos Rodriguez
Attorney for Complainant, Bakerly LLC